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CANADA BREAD REPORTS THIRD QUARTER FINANCIAL RESULTS

Toronto, Ontario – October 27, 2005 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the third quarter ended September 30, 2005.

"Our third quarter operating earnings benefited from increased contributions from our Fresh Bakery operations, supported by a continued sales mix improvement to higher margin premium nutrition whole wheat and wholegrain products," said Richard Lan, President and CEO of Canada Bread. "This growth was somewhat offset by rising energy and other inflationary costs, which we will manage and offset over time."

Sales for the third quarter increased by over 3% to $346.1 million from $335.7 million for the prior year, while sales for the first nine months of 2005 increased approximately 4% to $1.0 billion.

Net earnings for the quarter were $23.0 million ($0.91 per share) compared to $19.0 million ($0.75 per share) last year. Year-to-date net earnings before restructuring costs were $59.4 million ($2.33 per share), compared to $47.4 million ($1.86 per share) last year. Including restructuring costs, year-to-date net earnings were $56.2 million ($2.21 per share).

Operating Review

Earnings from operations increased 13% to $32.9 million compared to $29.0 million last year, driven by increased earnings in the Fresh Bakery operations. Earnings from operations before restructuring costs for the year-to-date increased almost 19% to $85.4 million. Comparisons of earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Fresh Bakery sales of $249.9 million in the third quarter compared to $242.1 million last year, while sales for the first nine months were $717.8 million compared to $687.3 million last year. Earnings from operations increased to $24.9 million in the third quarter from $19.5 million last year, while year-to-date earnings from operations increased to $65.6 million from $46.4 million last year. An improved sales mix of higher value nutritious products, price increases, and reduced administrative and operating costs that benefited from Six Sigma initiatives all contributed to this growth in profitability.

Frozen Bakery sales increased to $96.2 million from $93.6 million in the third quarter of 2004, while sales for the first nine months increased to $289.8 million from $283.5 million last year. Sales growth in the third quarter was supported by strong market response in North America to the *Wholesome Harvest* line of high nutrition par-baked products including wheat, multigrain and whole grain breads and rolls. Operating earnings in the third quarter declined to $8.0 million from $9.5 million last year, while year-to-date operating earnings were $19.7 million compared to $25.4 million in 2004. The decline in operating earnings for the third quarter was primarily due to costs associated with commissioning of the new bagel plant in Rotherham, England and higher advertising and promotional spending to support the *New York Bagel* brand. In North America, increased frozen bakery sales were more than offset by higher distribution costs.

While the significant rise in energy costs impacted profitability in the quarter, the Company has the ability over time to manage these inflationary pressures through initiatives to lower energy consumption and other operating costs as well as through price increases.

Cash Flow and Financing

Cash flow from operating activities for the third quarter was a source of funds of $48.3 million compared to a source of funds of $32.8 million last year. This quarter-over-quarter improvement in cash flow was due to increased net earnings in the quarter and a decreased investment in working capital. Year-to-date cash flow from operations was a source of funds of $74.8 million compared with $94.2 million in the prior year-to-date. An increase in earnings was more than offset by an increased investment in working capital.

On October 26, 2005, the Company reached an agreement with Maple Leaf Foods Inc. to amend its revolving credit agreement. In accordance with the new financing arrangement, the term of the revolving facility has been extended for three years, maturing on December 27, 2008. To provide additional liquidity, the principal amount of the facility has been increased from $169 million to $250 million and the borrowing rate has been reduced to reflect lower credit spreads consistent with current market trends. Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option does not exist under the amended facility. Capital expenditures for the third quarter were $10.3 million compared to $19.9 million last year, while year-to-date capital expenditures were $42.9 million compared to $44.5 million last year. These expenditures largely supported the installation of new equipment to support the new FroBake® line of products in the United States and completion of the new bagel plant in the United Kingdom.

Other Matters

The Company declared a dividend of $0.06 per share payable on January 3, 2006 to shareholders of record on December 16, 2005.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

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